

FRVO

FRVO N/A

Buy	\$26.76 ▲ 13.53%	12M Price Target \$38.00	52-Week Range \$23.10 – \$42.65	Market Cap \$7.88B
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FRVO: Geothermal Bounces as AI Power Demand Story Rebuilds

WHAT HAPPENED

- FRVO ripped +13.5% today after a brutal two-day drop from \$27.88 to \$23.57 — this looks like a classic oversold bounce on light volume (1.4M shares vs 8M on the sell-off day). The move-up volume is WEAK, which tells me this is a dead-cat bounce candidate unless news follows through.
- Options flow is leaning bullish (3.3 calls for every put), and the broader tech tape was up +2.45% — AI-adjacent names caught a bid, and FRVO is increasingly traded as an "AI power" derivative rather than a pure energy play.

WHY IT MATTERS

Here's the real story: FRVO is now a pure play on the AI-power thesis, and the Nvidia + PNNL digital twin partnership from late June basically confirmed that hyperscalers see geothermal as the answer to their 24/7 clean power problem (solar/wind can't run data centers alone). The recent selloff to \$23 likely reflected an earnings miss digestion plus profit-taking — but at 19% of its 52-week range, the risk/reward is skewing favorable IF Cape Station's 33MW comes online on schedule. What to watch: this stock trades on narrative, not fundamentals — every hyperscaler PPA announcement (power purchase agreement, meaning a data center locks in FRVO's electricity for 10-20 years) is a step-function catalyst. The Bill Gates backing (via Breakthrough Energy) and Nvidia stamp of approval give this thing institutional cover that other geothermal names don't have.

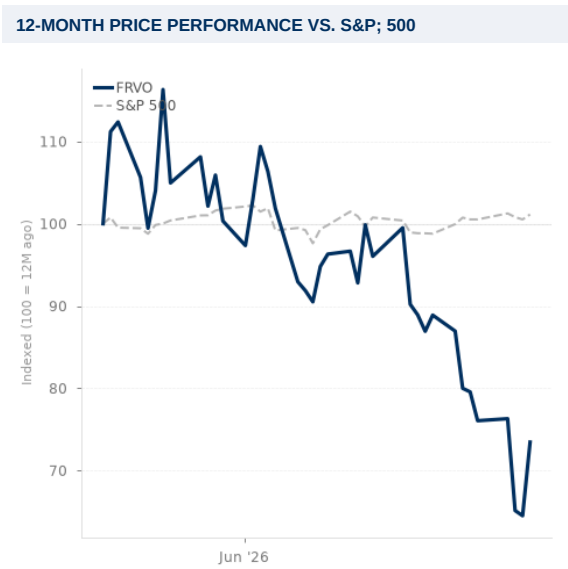
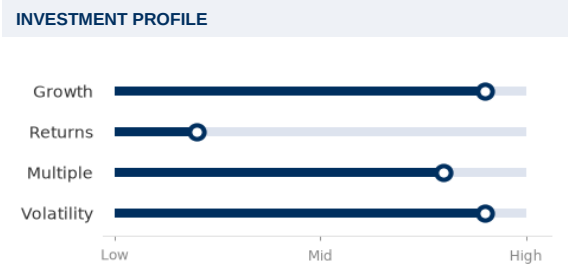
POLICY & POLITICAL WATCH

The big one: the IRA's clean energy tax credits (Section 45Y and 48E) — geothermal qualifies for the full production and investment tax credits, worth potentially hundreds of millions to FRVO over the next decade. The Trump administration has been selective about which IRA provisions to preserve, and geothermal has bipartisan support because it's baseload power (runs 24/7) and plays well in red states like Utah and Nevada where FRVO operates. Also watch the permitting reform push in Congress — any bill that speeds up federal land drilling permits (BLM approvals) is a direct accelerant for FRVO's project pipeline, since most of their sites sit on federal land.

IS IT EXPENSIVE?

At \$7.88B market cap on ~\$145M expected 2026 revenue, investors are paying roughly \$54 for every \$1 of current revenue — that's insanely expensive by traditional standards, more like a software stock than an energy company. But the market is valuing the pipeline, not the P&L: if Cape Station hits 400MW by 2028 as planned, that revenue multiple compresses fast. The bet is that this is 2020-era Tesla, not 2015-era SunEdison — you're paying for the option value on a new energy category winning.

Key Data	
Price (USD)	\$26.76
12M Price Target	\$38.00
Upside / (Downside)	+42.0%
Market Cap	\$7.88B
FY2026E Revenue	\$145M
FY2027E Revenue	\$310M
FY2026E EPS	(\$1.85)
FY2027E EPS	(\$1.20)
Fwd P/E	N/M



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$32.00	\$28.00	\$22.00
6 Months	\$40.00	\$32.00	\$20.00
1 Year	\$50.00	\$38.00	\$18.00
2 Years	\$70.00	\$48.00	\$15.00
5 Years	\$120.00	\$70.00	\$12.00
10 Years	\$250.00	\$130.00	\$8.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Tech (+2.45%) led by AI infrastructure — anything tied to data center power is getting a bid because the IPO chatter around OpenAI and Anthropic is reminding people how much compute (and therefore electricity) is coming online.

COOLING OFF: Consumer Discretionary (-2% over 5 days) and Materials — consumer weakness signals recession worries, and materials are getting hit by tariff uncertainty.

ROTATION WATCH: Money is rotating from mega-cap tech into AI derivatives — power, cooling, real estate (data center REITs), and specialty utilities. FRVO sits squarely in that second-derivative bucket, which is why it's suddenly correlated more with NVDA than with oil.

RELATED PLAY: If you like the AI power thesis, look at Vistra (VST), Constellation (CEG), or Talen (TLN) for the utility-scale exposure, and GEV (GE Vernova) for the equipment side — those are the "picks and shovels" of the same trade.

WHO'S WINNING IN THIS SPACE?

- CEG (Constellation Energy): Nuclear baseload plays are winning the hyperscaler PPA race — they've signed major deals with Microsoft
- VST (Vistra): Riding the same AI power thesis with existing nuclear + gas fleet, no execution risk

FRVO CONTEXT: FRVO is lagging the established AI-power names badly (still at 19% of its 52-week range while CEG/VST are near highs) because it's pre-revenue at scale and carries execution risk they don't. That gap could close fast on positive project news — but it means FRVO needs to prove it deserves a seat at the table, whereas the others already have one.

WHAT I'D DO WITH THIS STOCK

6/10 Conviction Score

CONVICTION: 6/10 — I like the thesis but the execution risk is real and the stock has burned people twice already this quarter.

POSITION SIZE: Keep this at 2-3% max — the upside is a multi-bagger but the drawdowns are 40%+ so you don't want it dominating your portfolio.

ENTRY POINTS: I'd rather add on weakness back to \$24-26 than chase this bounce. If it holds \$23 on the next macro scare, that's your accumulation zone.

TIME HORIZON: 18-36 months — you're waiting for Cape Station to ramp and for a major hyperscaler PPA announcement (probably late 2026 or 2027).

WHEN TO BAIL: If they miss Cape Station's 33MW milestone by more than 6 months, or if they raise capital at a >20% discount to market — either is a sign the story is breaking.

HEDGING: Simplest hedge is just position sizing — don't own more than you can afford to see drop 50%. If you want to get fancy, own some CEG or VST alongside it since they benefit from the same thesis with less risk.